



Settlement process.

Settlement Process

Role of NPCI as settlement agency

NPCI would act as a clearing and settlement agency for settlement of inter-bank transactions between the Remitter and the Beneficiary members participating in the UPI network.

1) Settlement mechanism

NPCI, as the settlement agency, would credit/debit from the members' settlement account maintained with RBI, the amount as per the summary level data it receives from UPI Network.

Before participating in the UPI, all members should issue a letter of authority to RBI (DAD Mumbai), authorizing the settlement agency (NPCI) to credit and debit their settlement account with RBI for UPI transactions which will be settled in the existing UPI MNSB file. NPCI Network calculates the net debit/credit position based on the total netting of acquiring, issuing transactions and adjustments for a particular member.

In case of net debit, the member has an obligation towards other members. Thus, it owes the amount equal to the net settlement amount to other members in the network. During the settlement process, NPCI debits the members, which is under net debit and credits the members under net credit. To effect this, the net debit member should hold sufficient funds in its settlement account. Settlement account is the RTGS account of members with RBI.

Members should ensure to fund their RTGS settlement account held with RBI with sufficient amount to meet the settlement obligation sent by NPCI.

Members should periodically review daily settlement amount trend and ensure to fund the RTGS settlement account to avoid the out of fund situation.

2) Settlement reporting and reconciliation

UPI would provide the daily settlement reports in Back-office application format round-the-clock. Using the reports provided by NPCI and bank's own reports, bank need to reconcile and raise required adjustments on back-office portal to handle the exceptional transactions.

3) Settlement currency

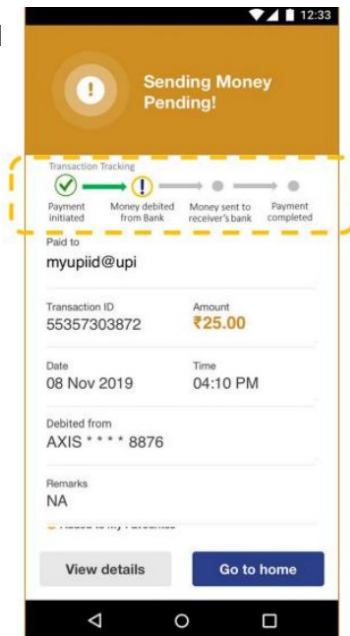
All transactions in UPI will be settled in Indian Rupee (INR) only.

4) Dispute Resolution Mechanism

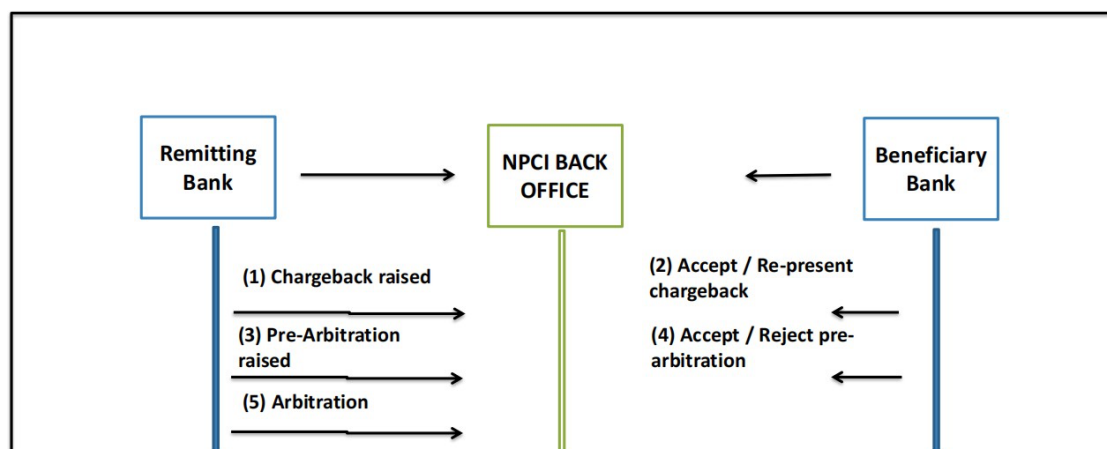
Exception transactions are those that are not reconciled and/or are disputed by the customer/members. Members should collaboratively endeavor

to settle discrepancies in the dispute management process, if raised by other members. All such discrepancies should be resolved amicably as per the UPI Operating and Settlement Guidelines (OSG). The timeline (TAT) provided in this document for each of the disputes/adjustments is subject to change. Any change in TAT of UPI disputes/adjustments would be communicated to UPI members through operating circulars.

Each member should maintain records of all transactions for a minimum period as stipulated by the laws. In case of disputes, members should keep records of all disputed transactions until the disputes are resolved. Members should provide details of all disputed transactions to other members whenever requested. Participants are required to periodically review the circulars and operating settlement guidelines issued from time to time to ensure compliance with any updates to dispute resolution rules and procedures.



UPI Dispute Lifecycle



When cases are referred to Arbitration, disputes are first reviewed and decided by the NPCI Review Panel (NRP). If further challenged, the Panel for Dispute Resolution (PRD) reviews the case and provides a decision.

All the above disputes will have to be accepted or rejected within TAT otherwise system will automatically close the window on deemed acceptance basis.

Online Dispute Resolution (ODR).

UPI offers online dispute resolution towards customer complaints/disputes and transaction status update. Objective for ODR is to facilitate the ecosystem participants to handle complaints expeditiously and in fair manner thereby enhancing the end user (consumer) experience and Trust on products & services and overall payments ecosystem.

Features of ODR are as follows

- Seamless issue resolution
- Transaction Status check option to customer
- Complaint Management
- Auto Status Update of pending transactions